EXECUTIVE SUMMARY

I. Introduction

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines, through the leadership of Juan De Salcedo. It was discovered as a tribal community, together with the Municipality of Buguey. And in 1877, by virtue of a Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P.

The municipality is located at the center of the Province of Cagayan. It is approximately 66 kms from Tuguegarao City and 40 kms from Aparri. The mountain ranges on the east are a portion of the Sierra Madre Mountain and are bounded on the north by the Municipality of Lallo, west by the Municipality of Lasam and in the south by the Municipality of Baggao and Alcala. It has 50 barangays and is classified as a 1st class municipality with a land area of 70,750.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Gattaran Cagayan for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality of Gattaran for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase (Decrease)
Financial Position			

Accounts	2024	2023	Increase (Decrease)
Total Assets	P917,937,671.14	975,296,161.17	57,358,490.03
Liabilities	117,902,853.25	177,552,821.05	59,649,967.80
Total Government Equity	800,034,817.89	797,743,340.12	(2,291,477.77)
Results of Operations			
Total Revenues	382,786,319.24	401,727,932.51	18,941,613.27
Total Expenses	313,471,798.50	408,270,884.16	94,799,085.66
Net Income	69,314,520.74	(6,542,951.65)	75,857,472.39

IV. Operational Highlights

The Municipality is headed by the Municipal Mayor, Honorable Samuel G. Siddayao, and Vice-Mayor, Honorable Matthew C. Nolasco and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	1
Permanent Employees	174
Job order Employees	152

In addition, the Municipality of Gattaran had utilized 70.67 percent, equivalent to P80,189,843.85 out of the total appropriation of P113,469,901.94 for the significant and developmental projects in Calendar Year 2024.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Gattaran for the year-ended December 31, 2024 due to various accounts which are materially misstated by an aggregate amount of P155,654,030.19 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Gattaran disclosed misstatements totaling P155,654,030.19 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expenses	Total
Building	P1,774,659.50			P1,774,659.50
School Building	2,314,592.64			2,314,592.64
Other Structure	4,991,579.67			4,991,579.67

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expenses	Total
Road Network	37,440,257.05			37,440,257.05
CIP - Land Improvements	898,411.75			898,411.75
CIP- Infrastructure Assets	10,846,920.55			10,846,920.55
Depreciation Expense - Road Network			2,116,674.36	2,116,674.36
Accumulated Depreciation -Road Network	2,588,756.43			2,588,756.43
Depreciation Expense - Investment Property Building			332,568.17	332,568.17
Accumulated Depreciation - Building and Other Structure	78,010.32			78,010.32
Market	61,735.00			61,735.00
Other Receivables	8,392,163.52			8,392,163.52
Advances to Officers and Employees	126,287.78			126,287.78
Accounts Payable		2,423,791.90		2,423,791.90
Due to NGAs		197,996.22		197,996.22
Trust Liability – DRRMF		25,416,422.59		25,416,422.59
Transfer of Unspent Current Year DRRM Funds to the Trust Funds			5,347,321.37	5,347,321.37
Prior Period Adjustment			8,821,562.48	8,821,562.48
Donation			4,890,666.80	4,890,666.80
Other MOOE			36,593,652.09	36,593,652.09
Total	**P69,513,374.21**	**P28,038,210.71**	**P58,102,445.27**	**P155,654,030.19**

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Gattaran are as follows:

1. The actual expenditure to the LDRRM Fund amounting to P4.507 million were utilized for purposes not included in the approved budget/plan and allowed for the implementation of disaster programs and activities.

   We recommended that the Management strictly adhere to the guidelines set forth under COA Circular No. 2012-002 and NDRRMC DBM-DILG JMC No.

2013-1, and refrain from charging against the LDRRM Fund those PPAs not pertaining to disaster-related activities and/or not in accordance with the approved budget for which the fund was established.

Moreover, we recommended that the Management require the MDRRMO to abreast himself of the rules and regulations governing the mandate of the Office and ensure proper coordination and install a review mechanism with the Municipal Budget Officer and Municipal Accountant to strengthen the LGU's internal financial controls, thereby enhancing transparency and accountability in the utilization of LDRRM Fund.

2. Certificate of Final Acceptance was issued by the Municipal Engineer immediately after the completion of some infrastructure projects, without observing the one-year defects liability period, exposing the LGU to risks of possible loss or wastage of government resources and property from uncorrected defects.

   We recommended that the Management cease from the practice of immediately issuing the Certificate of Final Acceptance prior to the lapse of the defect's liability period or one year from the project completion date to ensure possible recourse for the LGU in cases of uncorrected defects and to protect Government's resources and property against loss or wastage, in compliance with 62.2 of the 2016 Revised IRR of RA 9184.

3. Savings derived from the implementation of 90 projects under 20% Development Fund and Capital Outlay - Current and Continuing Fund totaling to P3.499 million as of December 31, 2024 were not reverted to the unappropriated surplus, depriving the LGU constituents of the possible benefits they can derive from the utilization of the fund.

   We recommended that Management review the unexpended balances from previous appropriations and ensure proper monitoring of completed projects funded under the 20% DF and CO as part of the annual budget process to properly monitor budget allocation and utilization.

   Furthermore, we recommended that Management initiate the immediate reversion of savings for reallocation to optimize resource utilization and to utilize the identified savings to other development programs of the LGU.

VII. Summary of Total Suspensions, Disallowances and Charges

For the year 2024, the summary of total suspensions, disallowances, and charges shows a beginning balance of zero across all categories, with no new suspensions, disallowances, or charges issued. As a result, the ending balance for each category remained zero.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Fully Implemented	30	61.22 %
Not Implemented	19	38.78 %
Total	**49**	**100.00%**